

Except where noted, please refrain from using AI in completing this assignment. You'll be glad you did when taking Exam 1.

1. Write a few sentences that explain slide 35 of Lecture 3.
2. With reference to slide 35 of Lecture 3, suppose that the world relative price $\frac{P_W^I}{P_C^I}$ changes from $\frac{P_W^I}{P_C^I} = \frac{2}{3}$ to $\frac{P_W^I}{P_C^I} = \frac{4}{5}$.
 - (a) Illustrate this change on a new version of slide 35. You may start with the file "Comparative advantage graph 1.svg" if you wish, but it is not necessary. If you do use this SVG file, you may use an LLM to create the new version.
 - (b) Compared to $\frac{P_W^I}{P_C^I} = \frac{2}{3}$, is Home better or worse off at $\frac{P_W^I}{P_C^I} = \frac{4}{5}$? What about Foreign? Explain with reference to the figure you created in part (a).
 - (c) Compared to autarky, are both countries better off at $\frac{P_W^I}{P_C^I} = \frac{4}{5}$? Explain.
3. On pages 78-80 and in Figures 3.10 and 3.11, FT discuss a study by Feenstra, Ma and Xu published in 2019. Write a very short essay (just a couple of sentences) summarizing what FT have to say about the Feenstra, Ma and Xu study. A copy of their study is included with this assignment if you'd like to look at it, but it is not necessary.
4. Figure 3.5 of FT illustrates what happens in the Specific Factors Model when P_M increases. As discussed in FT and in Lecture 4, this makes owners of K better off, owners of T worse off, and has ambiguous effects on L . Suppose that instead of an increase in P_M , the value of marginal product of labor curve in M , $P_M \cdot MPL_M$, shifts because of an increase in MPL_M .
 - (a) Show that such a shift could occur because of an increase in K , or because of an increase in productivity in M (hint: look carefully at Slide 20 of Lecture 4, and interpret "increase in productivity" as change in the production function for M from $Q_M = 5\sqrt{K L_M}$ to $Q_M = 6\sqrt{K L_M}$).
 - (b) Suppose $P_M \cdot MPL_M$ shifted out because of an increase in K . Compared to the initial equilibrium at point A, what are the effects on the owners of K , the owners of T , and mobile labor L ?
 - (c) Suppose $P_M \cdot MPL_M$ shifted out because of an increase in productivity. Compared to the initial equilibrium at point A, what are the effects on the owners of K , the owners of T , and mobile labor L ?